

- “This time is different”
- Ponzi schemes
- Misleading information from asset issuers
- Cornering

The first two will be detailed in this chapter, while the latter three we reserve for the next chapter. In addition to historical examples from decades past, we also give examples of how these patterns have manifested in cryptoasset markets.

THE SPECULATION OF CROWDS

While often given a bad name, speculation in and of itself is not a bad thing. For millennia, speculation has been integral to markets and trading, with some of the earliest evidence coming from second-century BC Rome.² The root of the word speculate comes from the Latin specular, which means “to spy out, watch, observe, examine, explore.”³ Speculators are keenly focused on the movement of the market, observing its swings and taking action accordingly.

Speculators, generally, differ from investors in the duration they intend to hold assets. They do not buy an asset with the intent to hold it for years. Rather, they buy the asset for an abbreviated period before selling it likely to the next speculator. Sometimes they do this to capitalize on short-term information they believe will move the market, other times they do it because they expect to ride the momentum of the